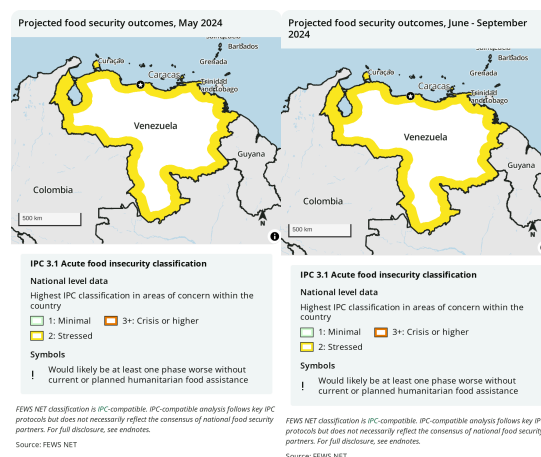


Current levels of food insecurity are mostly expected to persist amid political and economic uncertainty

Key Messages

- While inflation has moderated, the combination of low wages in VED and the limited receipt of vouchers or remittances continues to restrict purchasing power and access to food for poorer households in urban and peri-urban areas – especially in the Capital District, Anzoátegui, Monagas, Sucre and Zulia – resulting in these households experiencing Crisis (IPC Phase 3) outcomes. However, the increase in the vouchers through the **Ingreso Mínimo Integral** announced by the government on May 1 will benefit a portion of these households. Households receiving this increase are expected to be able to cover their basic food needs and improve outcomes to Stressed (IPC Phase 2) for the remainder of the analysis period.
- In Delta Amacuro, Amazonas, and Bolivar states, harvests of substitute food crops such as cassava, plantain, and maize, and cash crops such as cocoa and tropical fruits continue to be harvested in May, improving food availability and seasonally lowering food prices. In Bolivar, livestock and mining activities are also picking up. The demand for labor increases seasonally in these states due to the agricultural season and the onset of the rains. In the last 30 days, positive rainfall anomalies were observed in the west and north of the country, but deficits persisted, especially in the center of the country. Rainfall is expected to continue in the west, center and east, which could reduce deficits, although temperatures will remain above average across the country. With improvements in income and food sources, the portion of households in these areas experiencing Crisis (IPC Phase 3) outcomes will gradually decrease through September.
- The economy experienced relative stability in April, with inflation and exchange rate trends under control despite increased government spending. **Tax revenues** contributed to maintaining currency stability, mainly due to an increase in corporate revenues, which cushioned inflationary pressures. After April 18, 2024, OFAC issued the new General License 44A (**LG44A**), allowing the continuation of oil operations in Venezuela until May 31, 2024. This extension is temporarily easing the situation, but restrictions on new foreign and local investment and financial transactions could hinder economic growth and access to financing. In addition, a new law related to pensions (**Ley de Protección de las Pensiones de Seguridad Social frente el Bloqueo Imperialista**), approved on May 7, should improve the financing of pensions with mandatory contributions from private companies, but may also increase labor costs and negatively affect the private sector's liquidity and ability to generate employment. The political uncertainty surrounding the presidential elections could also discourage investment and generate additional pressures on public spending and inflation in the coming months.
- On May 1, the Venezuelan government announced an increase to 130 USD per month in vouchers through the **Ingreso Mínimo Integral** (90 USD from the *Bono Contra la Guerra Económica* and 40 USD from the *Cesta Ticket*), which will benefit 5.5 million public employees. However, this increase does not directly translate into a salary increase – this remains stable at 130 VED per month – since these vouchers are separate. While it may cover the cost of a basic diet of oil and cereals for some households, this source of income alone is not enough to cover the basic food basket in its entirety for most families. This means that poorer households who do not have other sources of income may still face difficulties in accessing adequate food. Public marches demanding wage



improvements and more increases in vouchers are expected before the elections.

- During the 2023/2024 crop year, Venezuela has reported positive changes in the agricultural production of its main crops. **Rice and maize have registered significant increases of 20 and 30 percent over the previous year**, reaching figures of 1,300 metric tons (MT) and 309 MT, respectively. These increases have contributed to improved market availability, stabilizing prices in VED and USD, and facilitating access to food for the population. In addition, they have generated a positive impact in rural areas in terms of employment due to the increased demand for labor compared to last year. During this analysis period, the main rice harvest, which ends in May, and secondary planting, which began in April and extends through June or July, are contributing to seasonal labor demand. The states of Portuguesa, Guárico, Cojedes, and Aragua are the main production centers, concentrating the areas with the highest yields in these crops.

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* FEWS NET's classifications are IPC-compatible. IPC-compatible analysis follows key IPC protocols but does not necessarily reflect the consensus of national food security partners. As of IPC 3.0, the IPC no longer assesses the impact of food assistance on classification and thus no longer maps the (!). However, FEWS NET continues to produce food security maps inclusive of the (!) as well as maps compatible with IPC 3.0/3.1, which include the mapping of food security assistance bags. FEWS NET and the IPC use different methods to estimate the total Population in Need of humanitarian food assistance and assess the risk of Famine. Learn more at www.fews.net/about.

Key Message Update

This Key Message Update provides a high-level analysis of current acute food insecurity conditions and any changes to FEWS NET's latest projection of acute food insecurity outcomes in the specified geography. Learn more [here](#).